

MACKENZIE EMERGING MARKETS LOCAL CURRENCY BOND INDEX ETF

ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

MANAGEMENT REPORT

Management's Responsibility for Financial Reporting

The accompanying financial statements have been prepared by Mackenzie Financial Corporation, as Manager of Mackenzie Emerging Markets Local Currency Bond Index ETF (the "ETF"). The Manager is responsible for the integrity, objectivity and reliability of the data presented. This responsibility includes selecting appropriate accounting principles and making judgments and estimates consistent with IFRS Accounting Standards. The Manager is also responsible for the development of internal controls over the financial reporting process, which are designed to provide reasonable assurance that relevant and reliable financial information is produced.

The Board of Directors (the "Board") of Mackenzie Financial Corporation is responsible for reviewing and approving the financial statements and overseeing the Manager's performance of its financial reporting responsibilities. The Board meets regularly with the Manager, internal auditors and external auditors to discuss internal controls over the financial reporting process, auditing matters and financial reporting issues.

KPMG LLP is the external auditor of the ETF. It is appointed by the Board. The external auditor has audited the financial statements in accordance with Canadian generally accepted auditing standards to enable it to express to the unitholders its opinion on the financial statements. Its report is set out below.

On behalf of Mackenzie Financial Corporation,
Manager of the ETF

Signed "Luke Gould"

Luke Gould
President and Chief Executive Officer
Mackenzie Financial Corporation
June 4, 2026

Signed "Terry Rountes"

Terry Rountes
Chief Financial Officer, Funds
Mackenzie Financial Corporation

INDEPENDENT AUDITOR'S REPORT

To the Unitholders of Mackenzie Emerging Markets Local Currency Bond Index ETF (the "ETF")

Opinion

We have audited the financial statements of the ETF, which comprise:

- the statements of financial position as at March 31, 2026 and March 31, 2025
- the statements of comprehensive income for the periods then ended as indicated in note 1
- the statements of changes in financial position for the periods then ended as indicated in note 1
- the statements of cash flows for the periods then ended as indicated in note 1
- and notes to the financial statements, including a summary of material accounting policies (Hereinafter referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the ETF as at March 31, 2026 and March 31, 2025, and its financial performance and its cash flows for the periods then ended as indicated in note 1 in accordance with IFRS Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of our auditor's report.

We are independent of the ETF in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

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INDEPENDENT AUDITOR'S REPORT (cont'd)

Other Information

Management is responsible for the other information. Other information comprises:

– the information included in the Annual Management Report of Fund Performance of the ETF.

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit and remain alert for indications that the other information appears to be materially misstated.

We obtained the information included in the Annual Management Report of Fund Performance of the ETF as at the date of this auditor's report. If, based on the work we have performed on this other information, we conclude that there is a material misstatement of this other information, we are required to report that fact in the auditor's report.

We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the ETF's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the ETF or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of the ETF.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.
The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the ETF's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ETF's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the ETF to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- Provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



Chartered Professional Accountants, Licensed Public Accountants
The engagement partner on the audit resulting in this auditor's report is Jacob Smolack.
Toronto, Canada
June 4, 2026

MACKENZIE EMERGING MARKETS LOCAL CURRENCY BOND INDEX ETF

ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

STATEMENTS OF FINANCIAL POSITION

at March 31 (in \$ 000 except per unit amounts)

	2026 \$	2025 \$
ASSETS		
Current assets		
Investments at fair value	158,531	33,763
Cash and cash equivalents	3,527	824
Accrued interest receivable	2,553	753
Accounts receivable for investments sold	3,090	32
Accounts receivable for units issued	—	—
Due from manager	33	28
Derivative assets	54	60
Total assets	167,788	35,460
LIABILITIES		
Current liabilities		
Accounts payable for investments purchased	1,323	266
Accounts payable for units redeemed	—	—
Due to manager	72	16
Derivative liabilities	10	22
Total liabilities	1,405	304
Net assets attributable to unitholders	166,383	35,156

	Net assets attributable to unitholders (note 3)			
	per unit		per series	
	2026	2025	2026	2025
CAD Units	77.39	78.13	166,383	35,156

STATEMENTS OF COMPREHENSIVE INCOME

for the periods ended March 31 (in \$ 000)

	2026 \$	2025 \$
Income		
Interest income for distribution purposes	4,622	1,571
Other changes in fair value of investments and other net assets		
Net realized gain (loss)	(71)	(407)
Net unrealized gain (loss)	(4,470)	1,540
Securities lending income	2	—
Other	876	29
Total income (loss)	959	2,733
Expenses (note 6)		
Management fees	449	132
Management fee rebates	(266)	(50)
Interest charges	23	3
Commissions and other portfolio transaction costs	12	—
Independent Review Committee fees	—	—
Expenses before amounts absorbed by Manager	218	85
Expenses absorbed by Manager	—	—
Net expenses	218	85
Increase (decrease) in net assets attributable to unitholders from operations before tax	741	2,648
Foreign withholding tax expense (recovery)	33	(241)
Foreign income tax expense (recovery)	—	—
Increase (decrease) in net assets attributable to unitholders from operations	708	2,889

The accompanying notes are an integral part of these financial statements.

MACKENZIE EMERGING MARKETS LOCAL CURRENCY BOND INDEX ETF

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STATEMENTS OF CHANGES IN FINANCIAL POSITION

for the periods ended March 31 (in \$ 000)

	2026 \$	2025 \$
Net assets attributable to unitholders		
Beginning of period	35,156	18,597
Increase (decrease) in net assets from operations	708	2,889
Distributions paid to unitholders:		
Investment income	(4,781)	(1,258)
Capital gains	(7)	(6)
Management fee rebates	(266)	(50)
Total distributions paid to unitholders	(5,054)	(1,314)
Unit transactions:		
Proceeds from units issued	135,566	14,978
Reinvested distributions	7	6
Payments on redemption of units	—	—
Total unit transactions	135,573	14,984
Increase (decrease) in net assets attributable to unitholders	131,227	16,559
End of period	166,383	35,156

STATEMENTS OF CASH FLOWS

for the periods ended March 31 (in \$ 000)

	2026 \$	2025 \$
Cash flows from operating activities		
Net increase (decrease) in net assets attributable to unitholders from operations	708	2,889
Adjustments for:		
Net realized loss (gain) on investments	(435)	410
Change in net unrealized loss (gain) on investments	4,470	(1,540)
Purchase of investments ¹	(147,350)	(19,803)
Proceeds from sale and maturity of investments ¹	16,356	4,161
(Increase) decrease in accounts receivable and other assets	(1,805)	(469)
Increase (decrease) in accounts payable and other liabilities	56	—
Net cash provided by (used in) operating activities	(128,000)	(14,352)
Cash flows from financing activities		
Proceeds from units issued ¹	135,566	14,978
Payments on redemption of units ¹	—	—
Distributions paid net of reinvestments	(5,047)	(1,308)
Net cash provided by (used in) financing activities	130,519	13,670
Net increase (decrease) in cash and cash equivalents	2,519	(682)
Cash and cash equivalents at beginning of period	824	1,175
Effect of exchange rate fluctuations on cash and cash equivalents	184	331
Cash and cash equivalents at end of period	3,527	824
Cash	3,527	824
Cash equivalents	—	—
Cash and cash equivalents at end of period	3,527	824
Supplementary disclosures on cash flow from operating activities:		
Dividends received net of withholding taxes	—	—
Foreign taxes paid (recovered)	—	—
Interest received net of withholding taxes	2,789	1,305
Interest paid	23	3

¹ Excludes in-kind transactions. See Note 11 (a).

The accompanying notes are an integral part of these financial statements.

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SCHEDULE OF INVESTMENTS

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS					
African Development Bank 6.55% 05-23-2035	Supra - National	n/a	INR 87,400,000	1,267	1,198
African Development Bank 0% 09-30-2026	Supra - National	n/a	TRL 3,870,000	103	99
African Development Bank 0% 04-30-2027	Supra - National	n/a	TRL 600,000	13	12
Asian Development Bank 0.50% 07-20-2027	Supra - National	n/a	TRL 450,000	9	9
Asian Development Bank 6.30% 12-13-2028	Supra - National	n/a	IDR 680,000,000	56	56
Asian Development Bank 7.80% 03-15-2034	Supra - National	n/a	IDR 8,590,000,000	795	761
Asian Development Bank 5.25% 04-29-2035	Supra - National	n/a	PHP 97,700,000	2,344	2,100
The Asian Infrastructure Investment Bank 7.20% 07-02-2031	Supra - National	n/a	INR 22,100,000	333	314
The Asian Infrastructure Investment Bank 6.96% 01-14-2035	Supra - National	n/a	INR 31,000,000	461	450
Corp. Andina de Fomento 5.50% 05-20-2030	Supra - National	n/a	PHP 38,500,000	960	896
Corp. Andina de Fomento 8.25% 04-26-2034	Supra - National	n/a	INR 37,000,000	633	547
Corp. Andina de Fomento 7.25% 03-06-2036 144A	Supra - National	n/a	INR 80,000,000	1,179	1,086
Corporacion Andina de Fomento 8.50% 03-08-2028	Supra - National	n/a	MXN 2,000,000	130	155
The European Bank for Reconstruction and Development 0% 10-29-2026	Supra - National	n/a	MXN 10,000,000	657	742
The European Bank for Reconstruction and Development 5.13% 05-01-2027	United Kingdom	Corporate - Non Convertible	IDR 7,095,000,000	576	579
The European Bank for Reconstruction and Development 0% 10-28-2027	Supra - National	n/a	TRL 1,850,000	36	34
The European Bank for Reconstruction and Development 0% 01-28-2028	Supra - National	n/a	TRL 180,000	3	3
The European Bank for Reconstruction and Development 6.75% 03-14-2031	Supra - National	n/a	INR 12,000,000	181	170
The European Bank for Reconstruction and Development 6.88% 07-30-2031	Supra - National	n/a	INR 7,500,000	124	108
The European Bank for Reconstruction and Development 6.75% 01-13-2032	Supra - National	n/a	INR 14,000,000	210	199
The European Bank for Reconstruction and Development 6.50% 10-03-2036	Supra - National	n/a	INR 202,200,000	3,106	2,712
European Investment Bank 7.40% 10-23-2033	Supra - National	n/a	INR 80,100,000	1,368	1,149
European Investment Bank 6.88% 02-28-2035	Supra - National	n/a	INR 305,500,000	4,886	4,203
European Investment Bank 6.50% 07-11-2035	Supra - National	n/a	INR 30,000,000	464	401
Export-Import Bank of Korea 8.10% 10-16-2030	South Korea	Foreign Governments	INR 38,000,000	638	565
Government of Brazil 10.00% 01-01-2027	Brazil	Foreign Governments	BRL 5,000,000	1,221	1,336
Government of Brazil 0% 04-01-2027	Brazil	Foreign Governments	BRL 7,000,000	1,337	1,645
Government of Brazil 0% 07-01-2028	Brazil	Foreign Governments	BRL 1,000,000	186	200
Government of Brazil 0% 01-01-2029	Brazil	Foreign Governments	BRL 6,000,000	960	1,129
Government of Brazil 10.00% 01-01-2029	Brazil	Foreign Governments	BRL 16,000,000	3,967	4,050
Government of Brazil 0% 01-01-2030	Brazil	Foreign Governments	BRL 8,000,000	1,118	1,320
Government of Brazil 10.00% 01-01-2031	Brazil	Foreign Governments	BRL 7,000,000	1,653	1,680
Government of Brazil 0% 01-01-2032	Brazil	Foreign Governments	BRL 7,000,000	759	887
Government of Brazil 10.00% 01-01-2033	Brazil	Foreign Governments	BRL 4,000,000	895	924
Government of Brazil 10.00% 01-01-2035	Brazil	Foreign Governments	BRL 3,000,000	593	673
Government of Brazil 10.00% 01-01-2037	Brazil	Foreign Governments	BRL 4,000,000	859	873
Government of Chile 0% 05-06-2027	Chile	Foreign Governments	CLP 35,000,000	51	50
Government of Chile 4.90% 11-01-2027	Chile	Foreign Governments	CLP 115,000,000	167	176
Government of Chile 5.80% 10-01-2029 144A	Chile	Foreign Governments	CLP 605,000,000	946	947
Government of Chile 4.70% 09-01-2030	Chile	Foreign Governments	CLP 55,000,000	78	81
Government of Chile 6.00% 04-01-2033 144A	Chile	Foreign Governments	CLP 190,000,000	290	301
Government of Chile 7.00% 05-01-2034 144A	Chile	Foreign Governments	CLP 320,000,000	560	538
Government of Chile 5.30% 11-01-2037 144A	Chile	Foreign Governments	CLP 55,000,000	87	82
Government of Chile 6.20% 10-01-2040 144A	Chile	Foreign Governments	CLP 320,000,000	500	518
Government of Chile 5.10% 07-15-2050	Chile	Foreign Governments	CLP 145,000,000	215	204
Government of Chile 6.10% 04-01-2056	Chile	Foreign Governments	CLP 55,000,000	84	91
Government of China 3.12% 12-05-2026	China	Foreign Governments	CNY 1,000,000	196	205
Government of China 1.36% 12-15-2027	China	Foreign Governments	CNY 7,800,000	1,554	1,578
Government of China 1.45% 02-25-2028	China	Foreign Governments	CNY 1,300,000	250	264
Government of China 2.62% 09-25-2029	China	Foreign Governments	CNY 8,000,000	1,600	1,686
Government of China 1.63% 10-25-2030	China	Foreign Governments	CNY 8,500,000	1,693	1,726
Government of China 2.75% 02-17-2032	China	Foreign Governments	CNY 4,300,000	861	927
Government of China 1.66% 12-25-2032	China	Foreign Governments	CNY 8,700,000	1,734	1,756
Government of China 2.27% 05-25-2034	China	Foreign Governments	CNY 4,600,000	919	968
Government of China 4.09% 04-27-2035	China	Foreign Governments	CNY 300,000	71	74

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS (cont'd)					
Government of China 1.67% 05-25-2035	China	Foreign Governments	CNY 700,000	134	140
Government of China 1.78% 11-15-2035	China	Foreign Governments	CNY 5,600,000	1,111	1,128
Government of China 3.52% 04-25-2046	China	Foreign Governments	CNY 4,390,000	1,013	1,057
Government of China 3.53% 10-18-2051	China	Foreign Governments	CNY 3,960,000	972	978
Government of China 2.19% 09-25-2054	China	Foreign Governments	CNY 800,000	159	156
Government of China 2.15% 08-25-2055	China	Foreign Governments	CNY 1,600,000	308	313
Government of China 2.38% 01-15-2056	China	Foreign Governments	CNY 3,100,000	635	630
Government of China 3.40% 07-15-2072	China	Foreign Governments	CNY 1,820,000	446	461
Government of Colombia 7.50% 08-26-2026	Colombia	Foreign Governments	COP 232,300,000	75	87
Government of Colombia 6.00% 04-28-2028	Colombia	Foreign Governments	COP 1,480,200,000	455	489
Government of Colombia 7.75% 09-18-2030	Colombia	Foreign Governments	COP 1,565,300,000	463	481
Government of Colombia 7.00% 03-26-2031	Colombia	Foreign Governments	COP 124,400,000	32	37
Government of Colombia 7.00% 06-30-2032	Colombia	Foreign Governments	COP 2,352,200,000	637	661
Government of Colombia 13.25% 02-09-2033	Colombia	Foreign Governments	COP 312,800,000	119	118
Government of Colombia 7.25% 10-18-2034	Colombia	Foreign Governments	COP 3,483,100,000	897	939
Government of Colombia 6.25% 07-09-2036	Colombia	Foreign Governments	COP 1,235,900,000	263	301
Government of Colombia 9.25% 05-28-2042	Colombia	Foreign Governments	COP 346,800,000	95	100
Government of Colombia 11.50% 07-25-2046	Colombia	Foreign Governments	COP 3,128,400,000	962	1,072
Government of Colombia 7.25% 10-26-2050	Colombia	Foreign Governments	COP 1,014,000,000	211	229
Government of Colombia 11.00% 08-22-2029	Colombia	Foreign Governments	COP 2,619,400,000	899	921
Government of Colombia 11.75% 01-24-2035	Colombia	Foreign Governments	COP 771,200,000	275	273
Government of Czech Republic 5.50% 12-12-2028	Czech Republic	Foreign Governments	CZK 6,160,000	423	416
Government of Czech Republic 5.75% 03-29-2029	Czech Republic	Foreign Governments	CZK 18,060,000	1,251	1,231
Government of Czech Republic 5.00% 09-30-2030	Czech Republic	Foreign Governments	CZK 3,860,000	244	259
Government of Czech Republic 6.20% 06-16-2031	Czech Republic	Foreign Governments	CZK 13,820,000	969	975
Government of Czech Republic 1.75% 06-23-2032	Czech Republic	Foreign Governments	CZK 16,960,000	961	941
Government of Czech Republic 4.50% 11-11-2032	Czech Republic	Foreign Governments	CZK 1,680,000	113	109
Government of Czech Republic 3.00% 03-03-2033	Czech Republic	Foreign Governments	CZK 7,170,000	439	423
Government of Czech Republic 4.90% 04-14-2034	Czech Republic	Foreign Governments	CZK 14,120,000	978	931
Government of Czech Republic 3.50% 05-30-2035	Czech Republic	Foreign Governments	CZK 960,000	55	57
Government of Czech Republic 5.30% 09-19-2035	Czech Republic	Foreign Governments	CZK 5,240,000	376	355
Government of Czech Republic 3.60% 06-03-2036	Czech Republic	Foreign Governments	CZK 7,340,000	436	432
Government of Czech Republic 1.95% 07-30-2037	Czech Republic	Foreign Governments	CZK 14,900,000	745	727
Government of Czech Republic 4.00% 04-04-2044	Czech Republic	Foreign Governments	CZK 2,000,000	120	113
Government of Hungary 1.50% 08-26-2026	Hungary	Foreign Governments	HUF 17,000,000	55	69
Government of Hungary 2.75% 12-22-2026	Hungary	Foreign Governments	HUF 11,600,000	36	47
Government of Hungary 3.00% 10-27-2027	Hungary	Foreign Governments	HUF 52,090,000	187	205
Government of Hungary 6.75% 10-22-2028	Hungary	Foreign Governments	HUF 202,740,000	864	837
Government of Hungary 3.00% 08-21-2030	Hungary	Foreign Governments	HUF 151,700,000	547	536
Government of Hungary 3.25% 10-22-2031	Hungary	Foreign Governments	HUF 55,080,000	191	189
Government of Hungary 4.50% 05-27-2032	Hungary	Foreign Governments	HUF 36,900,000	137	134
Government of Hungary 4.75% 11-24-2032	Hungary	Foreign Governments	HUF 66,690,000	221	243
Government of Hungary 2.25% 06-22-2034	Hungary	Foreign Governments	HUF 164,640,000	524	482
Government of Hungary 7.00% 10-24-2035	Hungary	Foreign Governments	HUF 33,080,000	130	136
Government of Hungary 3.00% 10-27-2038	Hungary	Foreign Governments	HUF 35,840,000	96	100
Government of Hungary 3.00% 04-25-2041	Hungary	Foreign Governments	HUF 17,090,000	45	45
Government of Indonesia 6.13% 05-15-2028	Indonesia	Foreign Governments	IDR 13,357,000,000	1,113	1,091
Government of Indonesia 6.38% 08-15-2028	Indonesia	Foreign Governments	IDR 10,115,000,000	853	833
Government of Indonesia 6.88% 04-15-2029	Indonesia	Foreign Governments	IDR 11,237,000,000	988	932
Government of Indonesia 6.50% 07-15-2030	Indonesia	Foreign Governments	IDR 10,797,000,000	920	883
Government of Indonesia 6.50% 02-15-2031	Indonesia	Foreign Governments	IDR 1,706,000,000	143	139
Government of Indonesia 5.88% 03-15-2031	Indonesia	Foreign Governments	IDR 8,224,000,000	675	656
Government of Indonesia 6.38% 04-15-2032	Indonesia	Foreign Governments	IDR 18,975,000,000	1,579	1,528
Government of Indonesia 7.00% 02-15-2033	Indonesia	Foreign Governments	IDR 2,660,000,000	232	220
Government of Indonesia 6.63% 02-15-2034	Indonesia	Foreign Governments	IDR 1,520,000,000	131	123
Government of Indonesia 6.75% 07-15-2035	Indonesia	Foreign Governments	IDR 22,356,000,000	1,899	1,827
Government of Indonesia 7.50% 04-15-2040	Indonesia	Foreign Governments	IDR 27,085,000,000	2,387	2,314
Government of Indonesia 7.13% 06-15-2043	Indonesia	Foreign Governments	IDR 5,318,000,000	460	444
Government of Indonesia 8.75% 02-15-2044	Indonesia	Foreign Governments	IDR 9,270,000,000	939	897
Government of Indonesia 7.13% 08-15-2045	Indonesia	Foreign Governments	IDR 1,740,000,000	150	147
Government of Indonesia 6.88% 08-15-2051	Indonesia	Foreign Governments	IDR 5,309,000,000	452	434
Government of Indonesia 6.88% 07-15-2054	Indonesia	Foreign Governments	IDR 6,869,000,000	573	562
Government of Korea 2.38% 03-10-2027	South Korea	Foreign Governments	KOR 1,152,710,000	1,155	1,044

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS (cont'd)					
Government of Korea 2.38% 12-10-2027	South Korea	Foreign Governments	KOR 526,100,000	498	471
Government of Korea 3.25% 03-10-2028	South Korea	Foreign Governments	KOR 1,229,830,000	1,181	1,116
Government of Korea 2.63% 06-10-2028	South Korea	Foreign Governments	KOR 180,610,000	180	162
Government of Korea 3.50% 09-10-2028	South Korea	Foreign Governments	KOR 310,890,000	323	283
Government of Korea 3.25% 03-10-2029	South Korea	Foreign Governments	KOR 461,760,000	463	417
Government of Korea 5.50% 12-10-2029	South Korea	Foreign Governments	KOR 379,650,000	429	367
Government of Korea 2.63% 03-10-2030	South Korea	Foreign Governments	KOR 516,590,000	466	452
Government of Korea 1.38% 06-10-2030	South Korea	Foreign Governments	KOR 1,628,550,000	1,468	1,347
Government of Korea 1.50% 12-10-2030	South Korea	Foreign Governments	KOR 290,480,000	268	238
Government of Korea 2.00% 06-10-2031	South Korea	Foreign Governments	KOR 497,970,000	476	415
Government of Korea 3.38% 06-10-2032	South Korea	Foreign Governments	KOR 161,590,000	166	144
Government of Korea 4.25% 12-10-2032	South Korea	Foreign Governments	KOR 215,640,000	239	201
Government of Korea 3.25% 06-10-2033	South Korea	Foreign Governments	KOR 63,730,000	63	56
Government of Korea 3.75% 12-10-2033	South Korea	Foreign Governments	KOR 143,830,000	151	130
Government of Korea 3.50% 06-10-2034	South Korea	Foreign Governments	KOR 159,040,000	147	141
Government of Korea 3.00% 12-10-2034	South Korea	Foreign Governments	KOR 2,492,320,000	2,334	2,119
Government of Korea 2.63% 09-10-2035	South Korea	Foreign Governments	KOR 66,400,000	65	54
Government of Korea 1.50% 09-10-2036	South Korea	Foreign Governments	KOR 65,420,000	62	48
Government of Korea 1.50% 09-10-2040	South Korea	Foreign Governments	KOR 386,610,000	307	258
Government of Korea 1.88% 09-10-2041	South Korea	Foreign Governments	KOR 196,380,000	159	136
Government of Korea 3.00% 12-10-2042	South Korea	Foreign Governments	KOR 99,180,000	96	80
Government of Korea 3.88% 09-10-2043	South Korea	Foreign Governments	KOR 72,010,000	84	65
Government of Korea 2.88% 09-10-2044	South Korea	Foreign Governments	KOR 161,910,000	139	127
Government of Korea 2.75% 12-10-2044	South Korea	Foreign Governments	KOR 48,250,000	47	37
Government of Korea 2.00% 03-10-2046	South Korea	Foreign Governments	KOR 1,021,090,000	883	683
Government of Korea 2.63% 03-10-2048	South Korea	Foreign Governments	KOR 113,300,000	112	84
Government of Korea 1.50% 03-10-2050	South Korea	Foreign Governments	KOR 15,620,000	11	9
Government of Korea 1.88% 03-10-2051	South Korea	Foreign Governments	KOR 4,001,170,000	2,771	2,485
Government of Korea 2.50% 03-10-2052	South Korea	Foreign Governments	KOR 654,710,000	545	463
Government of Korea 3.13% 09-10-2052	South Korea	Foreign Governments	KOR 159,040,000	168	127
Government of Korea 3.25% 03-10-2053	South Korea	Foreign Governments	KOR 43,700,000	47	36
Government of Korea 3.63% 09-10-2053	South Korea	Foreign Governments	KOR 115,910,000	132	101
Government of Korea 3.25% 03-10-2054	South Korea	Foreign Governments	KOR 422,320,000	424	347
Government of Korea 2.75% 09-10-2054	South Korea	Foreign Governments	KOR 201,090,000	204	149
Government of Korea 2.63% 03-10-2055	South Korea	Foreign Governments	KOR 1,488,620,000	1,380	1,079
Government of Korea 2.63% 09-10-2055	South Korea	Foreign Governments	KOR 476,500,000	386	343
Government of Korea 2.00% 09-10-2068	South Korea	Foreign Governments	KOR 74,830,000	70	43
Government of Korea 1.63% 09-10-2070	South Korea	Foreign Governments	KOR 25,570,000	18	13
Government of Malaysia 3.90% 11-30-2026	Malaysia	Foreign Governments	MYR 148,000	49	51
Government of Malaysia 3.50% 05-31-2027	Malaysia	Foreign Governments	MYR 209,000	67	72
Government of Malaysia 3.42% 09-30-2027	Malaysia	Foreign Governments	MYR 1,595,000	489	552
Government of Malaysia 3.52% 04-20-2028	Malaysia	Foreign Governments	MYR 533,000	179	185
Government of Malaysia 3.73% 06-15-2028	Malaysia	Foreign Governments	MYR 2,224,000	794	775
Government of Malaysia 4.50% 04-30-2029	Malaysia	Foreign Governments	MYR 1,909,000	650	681
Government of Malaysia 3.89% 08-15-2029	Malaysia	Foreign Governments	MYR 200,000	60	70
Government of Malaysia 3.47% 10-15-2030	Malaysia	Foreign Governments	MYR 600,000	182	207
Government of Malaysia 2.63% 04-15-2031	Malaysia	Foreign Governments	MYR 1,187,000	360	394
Government of Malaysia 4.13% 04-15-2032	Malaysia	Foreign Governments	MYR 2,813,000	1,027	1,001
Government of Malaysia 3.58% 07-15-2032	Malaysia	Foreign Governments	MYR 661,000	217	228
Government of Malaysia 4.64% 11-07-2033	Malaysia	Foreign Governments	MYR 633,000	216	233
Government of Malaysia 3.83% 07-05-2034	Malaysia	Foreign Governments	MYR 1,694,000	563	591
Government of Malaysia 3.48% 07-02-2035	Malaysia	Foreign Governments	MYR 649,000	228	221
Government of Malaysia 4.76% 04-07-2037	Malaysia	Foreign Governments	MYR 3,064,000	1,145	1,143
Government of Malaysia 4.47% 09-15-2039	Malaysia	Foreign Governments	MYR 306,000	102	112
Government of Malaysia 4.70% 10-15-2042	Malaysia	Foreign Governments	MYR 1,127,000	406	422
Government of Malaysia 4.92% 07-06-2048	Malaysia	Foreign Governments	MYR 1,834,000	724	709
Government of Malaysia 4.64% 11-15-2049	Malaysia	Foreign Governments	MYR 304,000	96	114
Government of Malaysia 4.07% 06-15-2050	Malaysia	Foreign Governments	MYR 1,078,000	363	370
Government of Malaysia 3.92% 07-15-2055	Malaysia	Foreign Governments	MYR 121,000	41	40
Government of Mexico 8.50% 03-01-2029	Mexico	Foreign Governments	MXN 22,400,000	1,799	1,737
Government of Mexico 8.50% 05-31-2029	Mexico	Foreign Governments	MXN 18,100,000	1,365	1,399
Government of Mexico 7.75% 05-29-2031	Mexico	Foreign Governments	MXN 13,860,000	939	1,022
Government of Mexico 7.50% 05-26-2033	Mexico	Foreign Governments	MXN 5,330,000	358	378

MACKENZIE EMERGING MARKETS LOCAL CURRENCY BOND INDEX ETF

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS (cont'd)					
Government of Mexico 7.75% 11-23-2034	Mexico	Foreign Governments	MXN 18,520,000	1,235	1,312
Government of Mexico 8.00% 05-24-2035	Mexico	Foreign Governments	MXN 2,300,000	166	163
Government of Mexico 10.00% 11-20-2036	Mexico	Foreign Governments	MXN 2,970,000	245	240
Government of Mexico 8.50% 11-18-2038	Mexico	Foreign Governments	MXN 5,280,000	372	376
Government of Mexico 8.00% 11-07-2047	Mexico	Foreign Governments	MXN 20,530,000	1,420	1,330
Government of Mexico 8.00% 07-31-2053	Mexico	Foreign Governments	MXN 17,870,000	1,139	1,146
Government of Peru 6.35% 08-12-2028	Peru	Foreign Governments	PEN 358,000	140	150
Government of Peru 5.94% 02-12-2029	Peru	Foreign Governments	PEN 519,000	216	216
Government of Peru 6.95% 08-12-2031	Peru	Foreign Governments	PEN 588,000	234	255
Government of Peru 6.15% 08-12-2032	Peru	Foreign Governments	PEN 648,000	241	271
Government of Peru 7.30% 08-12-2033	Peru	Foreign Governments	PEN 1,053,000	479	461
Government of Peru 5.40% 08-12-2034	Peru	Foreign Governments	PEN 1,268,000	474	481
Government of Peru 6.90% 08-12-2037	Peru	Foreign Governments	PEN 1,852,000	757	735
Government of Peru 7.60% 08-12-2039 144A	Peru	Foreign Governments	PEN 582,000	259	241
Government of Peru 5.35% 08-12-2040	Peru	Foreign Governments	PEN 276,000	84	92
Government of Peru 6.85% 02-12-2042	Peru	Foreign Governments	PEN 353,000	130	142
Government of Romania 3.25% 06-24-2026	Romania	Foreign Governments	RON 345,000	101	108
Government of Romania 7.20% 05-31-2027	Romania	Foreign Governments	RON 880,000	270	279
Government of Romania 4.15% 01-26-2028	Romania	Foreign Governments	RON 915,000	272	277
Government of Romania 5.00% 02-12-2029	Romania	Foreign Governments	RON 1,500,000	426	451
Government of Romania 6.30% 04-25-2029	Romania	Foreign Governments	RON 2,015,000	645	626
Government of Romania 4.85% 07-25-2029	Romania	Foreign Governments	RON 460,000	114	137
Government of Romania 8.00% 04-29-2030	Romania	Foreign Governments	RON 335,000	106	109
Government of Romania 4.15% 10-24-2030	Romania	Foreign Governments	RON 435,000	115	122
Government of Romania 3.65% 09-24-2031	Romania	Foreign Governments	RON 680,000	172	182
Government of Romania 6.70% 02-25-2032	Romania	Foreign Governments	RON 3,730,000	1,180	1,148
Government of Romania 8.25% 09-29-2032	Romania	Foreign Governments	RON 1,010,000	343	335
Government of Romania 7.20% 10-30-2033	Romania	Foreign Governments	RON 110,000	33	35
Government of Romania 7.10% 07-31-2034	Romania	Foreign Governments	RON 340,000	111	107
Government of Romania 4.75% 10-11-2034	Romania	Foreign Governments	RON 350,000	88	94
Government of Romania 4.25% 04-28-2036	Romania	Foreign Governments	RON 885,000	212	224
Government of Romania 7.90% 02-24-2038	Romania	Foreign Governments	RON 1,235,000	431	413
Government of South Africa 10.50% 12-21-2027	South Africa	Foreign Governments	ZAR 2,291,666	198	195
Government of South Africa 8.00% 01-31-2030	South Africa	Foreign Governments	ZAR 10,809,000	804	872
Government of South Africa 7.00% 02-28-2031	South Africa	Foreign Governments	ZAR 15,683,000	1,310	1,199
Government of South Africa 8.25% 03-31-2032	South Africa	Foreign Governments	ZAR 12,919,000	931	1,029
Government of South Africa 10.00% 03-31-2033	South Africa	Foreign Governments	ZAR 1,924,000	183	165
Government of South Africa 8.88% 02-28-2035	South Africa	Foreign Governments	ZAR 23,999,000	2,185	1,924
Government of South Africa 6.25% 03-31-2036	South Africa	Foreign Governments	ZAR 11,355,000	622	744
Government of South Africa 8.50% 01-31-2037	South Africa	Foreign Governments	ZAR 11,366,000	743	867
Government of South Africa 9.00% 01-31-2040	South Africa	Foreign Governments	ZAR 2,597,000	194	199
Government of South Africa 8.75% 01-31-2044	South Africa	Foreign Governments	ZAR 34,199,000	2,562	2,528
Government of South Africa 8.75% 02-28-2048	South Africa	Foreign Governments	ZAR 8,224,000	658	607
Government of South Africa 11.63% 03-31-2053	South Africa	Foreign Governments	ZAR 5,123,000	379	492
Government of Thailand 2.13% 12-17-2026	Thailand	Foreign Governments	THB 5,208,000	218	222
Government of Thailand 2.40% 11-17-2027	Thailand	Foreign Governments	THB 23,266,000	1,025	1,004
Government of Thailand 3.58% 12-17-2027	Thailand	Foreign Governments	THB 9,053,000	402	398
Government of Thailand 2.05% 04-17-2028	Thailand	Foreign Governments	THB 10,001,000	428	429
Government of Thailand 2.40% 03-17-2029	Thailand	Foreign Governments	THB 1,967,000	88	85
Government of Thailand 4.88% 06-22-2029	Thailand	Foreign Governments	THB 4,500,000	224	210
Government of Thailand 2.50% 11-17-2029	Thailand	Foreign Governments	THB 25,564,000	1,144	1,115
Government of Thailand 1.60% 12-17-2029	Thailand	Foreign Governments	THB 2,893,000	118	122
Government of Thailand 1.66% 03-17-2030	Thailand	Foreign Governments	THB 45,943,000	2,058	1,944
Government of Thailand 3.65% 06-20-2031	Thailand	Foreign Governments	THB 6,813,000	311	315
Government of Thailand 2.00% 12-17-2031	Thailand	Foreign Governments	THB 2,698,000	111	116
Government of Thailand 3.78% 06-25-2032	Thailand	Foreign Governments	THB 4,193,000	199	196
Government of Thailand 3.35% 06-17-2033	Thailand	Foreign Governments	THB 3,615,000	166	166
Government of Thailand 2.80% 06-17-2034	Thailand	Foreign Governments	THB 20,555,000	942	914
Government of Thailand 2.41% 03-17-2035	Thailand	Foreign Governments	THB 37,679,000	1,757	1,626
Government of Thailand 3.40% 06-17-2036	Thailand	Foreign Governments	THB 4,679,000	221	219
Government of Thailand 3.30% 06-17-2038	Thailand	Foreign Governments	THB 11,500,000	523	517
Government of Thailand 3.45% 06-17-2043	Thailand	Foreign Governments	THB 20,683,000	982	904
Government of Thailand 2.98% 06-17-2045	Thailand	Foreign Governments	THB 3,338,000	160	136
Government of Thailand 2.88% 06-17-2046	Thailand	Foreign Governments	THB 6,022,000	237	242

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SCHEDULE OF INVESTMENTS (cont'd)

as at March 31, 2026

Investment Name	Country	Sector	Par Value/ Number of Shares/Units	Average Cost (\$ 000)	Fair Value (\$ 000)
BONDS (cont'd)					
Government of Thailand 2.75% 06-17-2052	Thailand	Foreign Governments	THB 35,492,000	1,563	1,352
Government of Thailand 4.00% 06-17-2055	Thailand	Foreign Governments	THB 15,595,000	867	738
Government of Thailand 3.60% 06-17-2067	Thailand	Foreign Governments	THB 3,425,000	149	151
Government of Thailand 4.00% 06-17-2072	Thailand	Foreign Governments	THB 4,002,000	228	193
Government of the Philippines 6.25% 01-14-2036	Philippines	Foreign Governments	PHP 113,000,000	2,775	2,482
Government of Turkiye 30.00% 09-12-2029	Turkey	Foreign Governments	TRL 18,760,000	581	514
Government of Turkiye 17.80% 07-13-2033	Turkey	Foreign Governments	TRL 18,530,000	413	357
Government of Turkiye 26.20% 10-05-2033	Turkey	Foreign Governments	TRL 43,590,000	1,256	1,169
Inter-American Development Bank 7.00% 08-08-2033	Supra - National	n/a	INR 3,000,000	49	42
International Bank for Reconstruction and Development 2.50% 01-13-2031	Supra - National	n/a	CNY 4,000,000	793	842
International Bank for Reconstruction and Development 6.50% 10-01-2037	Supra - National	n/a	INR 22,000,000	330	291
International Finance Corp. 6.50% 01-21-2027	Supra - National	n/a	COP 300,000,000	86	109
Kommunalbanken AS 7.00% 03-05-2036 144A	Norway	Foreign Governments	INR 100,000,000	1,499	1,404
Mexican Bonos 8.50% 03-02-2028	Mexico	Foreign Governments	MXN 16,200,000	1,262	1,266
Mexican Bonos 8.50% 02-28-2030	Mexico	Foreign Governments	MXN 4,000,000	281	307
Mexican Bonos 8.00% 04-15-2032	Mexico	Foreign Governments	MXN 22,900,000	1,799	1,683
Mexican Bonos 8.00% 02-21-2036	Mexico	Foreign Governments	MXN 21,860,000	1,630	1,550
Mexican Bonos 7.75% 11-13-2042	Mexico	Foreign Governments	MXN 13,530,000	801	870
PSA Treasury Pte Ltd. 2.70% 06-03-2035	Singapore	Corporate - Non Convertible	CNY 2,500,000	498	509
United Overseas Bank Ltd. 4.50% 04-06-2032	Singapore	Corporate - Non Convertible	CNY 5,500,000	1,064	1,136
Total bonds				162,487	158,531
Transaction costs				(2)	—
Total investments				162,485	158,531
Derivative instruments (see schedule of derivative instruments)					44
Cash and cash equivalents					3,527
Other assets less liabilities					4,281
Net assets attributable to unitholders					166,383

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SUMMARY OF INVESTMENT PORTFOLIO

MARCH 31, 2026

PORTFOLIO ALLOCATION	% OF NAV
Bonds	95.3
Other assets (liabilities)	2.6
Cash and cash equivalents	2.1

REGIONAL ALLOCATION	% OF NAV
South Korea	9.9
China	8.9
Mexico	8.9
Brazil	8.8
Other	8.1
Thailand	8.0
Indonesia	7.8
South Africa	6.5
Malaysia	4.9
Czech Republic	4.2
Luxembourg	3.5
Colombia	3.4
Philippines	3.3
Romania	2.8
United Kingdom	2.7
Other assets (liabilities)	2.6
Cash and cash equivalents	2.1
Peru	1.8
Hungary	1.8

SECTOR ALLOCATION	% OF NAV
Foreign government bonds	79.3
Corporate bonds	16.0
Other assets (liabilities)	2.6
Cash and cash equivalents	2.1

MARCH 31, 2025

PORTFOLIO ALLOCATION	% OF NAV
Bonds	91.6
Short-term investments	4.4
Cash and cash equivalents	2.3
Other assets (liabilities)	1.7

REGIONAL ALLOCATION	% OF NAV
South Korea	13.0
Brazil	9.8
United Kingdom	9.0
Thailand	8.9
Other	7.8
Mexico	6.8
China	6.6
South Africa	6.4
Indonesia	5.4
Malaysia	5.2
Czech Republic	4.1
Philippines	3.9
Singapore	3.2
United States	3.1
Romania	2.8
Cash and cash equivalents	2.3
Other assets (liabilities)	1.7

SECTOR ALLOCATION	% OF NAV
Foreign government bonds	69.2
Corporate bonds	22.4
Short-term deposits	4.4
Cash and cash equivalents	2.3
Other assets (liabilities)	1.7

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as at March 31, 2026

[illegible]

MACKENZIE EMERGING MARKETS LOCAL CURRENCY BOND INDEX ETF

ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

NOTES TO FINANCIAL STATEMENTS

1. Fiscal Periods and General Information

The ETF is organized as an open-ended mutual fund trust established under the laws of the Province of Ontario pursuant to a Declaration of Trust as amended and restated from time to time. The address of the ETF's registered office is 180 Queen Street West, Toronto, Ontario, Canada. The ETF is authorized to issue an unlimited number of units for sale under a Prospectus. The units of the ETF are listed on the Toronto Stock Exchange/Cboe Canada ("the Exchange").

The information provided in these financial statements and notes thereto is for the periods ended or as at March 31, 2026 and 2025. In the year an exchange-traded fund ("the ETF") is established, 'period' represents the period from inception to the period end of that fiscal year. Refer to Note 11 (a) for the formation date of the ETF.

Mackenzie Financial Corporation ("Mackenzie") is the manager of the ETF and is wholly owned by IGM Financial Inc., a subsidiary of Power Corporation of Canada. Canada Life Investment Management Ltd. ("CLIML") is an indirect, wholly-owned subsidiary of The Canada Life Assurance Company ("Canada Life"), a subsidiary of Power Corporation of Canada. Investments in companies within the Power Group of companies held by the ETF are identified in the Schedule of Investments.

2. Basis of Preparation and Presentation

These audited annual financial statements ("financial statements") have been prepared in accordance with IFRS Accounting Standards ("IFRS"). A summary of the ETF's material accounting policies under IFRS is presented in Note 3.

These financial statements are presented in Canadian dollars, which is the ETF's functional and presentation currency, and rounded to the nearest thousand unless otherwise indicated. These financial statements are prepared on a going concern basis using the historical cost basis, except for financial instruments that have been measured at fair value.

These financial statements were authorized for issue by the Board of Directors of Mackenzie on June 4, 2026.

On January 22, 2026, the Canadian Securities Administrators adopted amendments to National Instrument 81-106 Investment Fund Continuous Disclosure to remove the requirement to prepare certain series-level disclosures in the *Statement of Comprehensive Income*, the *Statement of Changes in Financial Position* and in the notes to the financial statements. These amendments have come into force on April 22, 2026, and as a result, have been applied to these financial statements.

3. Material Accounting Policies

(a) Financial instruments

Financial instruments include financial assets and liabilities such as debt and equity securities, exchange-traded funds and derivatives. The ETF classifies and measures financial instruments in accordance with IFRS 9, *Financial Instruments* ("IFRS 9"). Upon initial recognition, financial instruments are classified as fair value through profit or loss ("FVTPL"). All financial instruments are recognized in the *Statement of Financial Position* when the ETF becomes a party to the contractual requirements of the instrument. Financial assets are derecognized when the right to receive cash flows from the instrument has expired or the ETF has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognized when the obligation is discharged, cancelled or expires. Investment purchase and sale transactions are recorded as of the trade date.

Financial instruments are subsequently measured at FVTPL with changes in fair value recognized in the *Statement of Comprehensive Income – Other changes in fair value of investments and other net assets – Net unrealized gain (loss)*.

The cost of investments is determined on a weighted average cost basis.

Realized and unrealized gains and losses on investments are calculated based on the weighted average cost of investments and exclude commissions and other portfolio transaction costs, which are separately reported in the *Statement of Comprehensive Income – Commissions and other portfolio transaction costs*.

Gains and losses arising from changes in the fair value of the investments are included in the *Statement of Comprehensive Income* for the period in which they arise.

The ETF accounts for its holdings in unlisted open-ended investment funds, private funds ("Underlying Funds") and Exchange-Traded Funds ("ETFs"), if any, at FVTPL. For private funds, Mackenzie will rely on the valuations provided by the managers of the private funds, which represents the ETF's proportionate share of the net assets of these private funds. The ETF's investment in Underlying Funds and ETFs, if any, is presented in the Schedule of Investments at fair value which represents the ETF's maximum exposure on these investments.

The ETF's redeemable units are held by different types of unitholders that are entitled to different redemption rights. Unitholders may redeem units of the ETF at a redemption price per unit equal to 95% of the closing price of the units on the Exchange on the effective day of the redemption, subject to a maximum redemption price of the applicable NAV per unit. These different redemption features create equally subordinate but not identical units of the ETF which therefore meet the criteria for classification as financial liabilities under IAS 32, *Financial Instruments: Presentation*. The ETF's obligation for net assets attributable to unitholders is presented at the redemption amount. Refer to Note 7 for details of subscriptions and redemptions of the ETF's units.

IAS 7, *Statement of Cash Flows*, requires disclosures related to changes in liabilities and assets, such as the units of the ETF, arising from financing activities. Changes in units of the ETF, including both changes from cash flows and non-cash changes, are included in the *Statement of Changes in Financial Position*. Any changes in the units not settled in cash as at the end of the period are presented as either Accounts receivable for units issued or Accounts payable for units redeemed in the *Statement of Financial Position*. These accounts receivable and accounts payable amounts typically settle shortly after period-end.

(b) Fair value measurement

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

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NOTES TO FINANCIAL STATEMENTS

3. Material Accounting Policies (cont'd)

(b) Fair value measurement (cont'd)

Investments listed on a public securities exchange or traded on an over-the-counter market, including ETFs, are valued on the basis of the last traded market price or closing price recorded by the security exchange on which the security is principally traded, where this price falls within the quoted bid-ask spread for the investment. In circumstances where this price is not within the bid-ask spread, Mackenzie determines the point within the bid-ask spread that is most representative of fair value based on the specific facts and circumstances. Mutual fund securities of an underlying fund are valued on a business day at the price calculated by the manager of such underlying fund in accordance with the constituting documents of such underlying fund. Unlisted or non-exchange traded investments, or investments where a last sale or close price is unavailable or investments for which market quotations are, in Mackenzie's opinion, inaccurate, unreliable, or not reflective of all available material information, are valued at their fair value as determined by Mackenzie using appropriate and accepted industry valuation techniques including valuation models. The fair value determined using valuation models requires the use of inputs and assumptions based on observable market data including volatility and other applicable rates or prices. In limited circumstances, the fair value may be determined using valuation techniques that are not supported by observable market data.

Cash and cash equivalents which includes cash on deposit with financial institutions and short-term investments that are readily convertible to cash, are subject to an insignificant risk of changes in value, and are used by the ETF in the management of short-term commitments. Cash and cash equivalents and short-term investments are reported at fair value which closely approximates their amortized cost due to their nature of being highly liquid and having short terms to maturity. Bank overdraft positions are presented under current liabilities as bank indebtedness in the *Statement of Financial Position*. Short-term investments that are not considered cash equivalents are separately disclosed in the Schedule of Investments.

The ETF may use derivatives (such as written options, futures, forward contracts, swaps or customized derivatives) to hedge against losses caused by changes in securities prices, interest rates or exchange rates. The ETF may also use derivatives for non-hedging purposes in order to invest indirectly in securities or financial markets, to gain exposure to other currencies, to seek to generate additional income, and/or for any other purpose considered appropriate by the ETF's portfolio manager(s), provided that the use of the derivative is consistent with the ETF's investment objectives. Any use of derivatives will comply with Canadian mutual fund laws, subject to the regulatory exemptions granted to the ETF, as applicable.

Valuations of derivative instruments are carried out daily, using normal exchange reporting sources for exchange-traded derivatives and specific broker enquiry for over-the-counter derivatives.

The value of forward contracts is the gain or loss that would be realized if, on the valuation date, the positions were to be closed out. The change in value of forward contracts is included in the *Statement of Comprehensive Income – Other changes in fair value of investments and other net assets – Net unrealized gain (loss)*.

The daily fluctuation of futures contracts or swaps, along with daily cash settlements made by the ETF, where applicable, are equal to the change in unrealized gains or losses that are best determined at the settlement price. These unrealized gains or losses are recorded and reported as such until the ETF closes out the contract or the contract expires. Margin paid or deposited in respect of futures contracts or swaps is reflected as a receivable in the *Statement of Financial Position – Margin on derivatives*. Any change in the variation margin requirement is settled daily.

Premiums paid for purchasing an option are recorded in the *Statement of Financial Position – Investments at fair value*.

Premiums received from written options are included in the *Statement of Financial Position* as a liability and subsequently adjusted daily to fair value. If a written option expires unexercised, the premium received is recognized as a realized gain. If a written call option is exercised, the difference between the proceeds of the sale plus the value of the premium, and the cost of the security is recognized as a realized gain or loss. If a written put option is exercised, the cost of the security acquired is the exercise price of the option less the premium received.

Refer to the Schedule of Derivative Instruments and Schedule of Options Purchased/Written, as applicable, included in the Schedule of Investments for a listing of derivative and options positions as at March 31, 2026.

The ETF categorizes the fair value of its assets and liabilities into three categories, which are differentiated based on the observable nature of the inputs and extent of estimation required.

Level 1 – Unadjusted quoted prices in active markets for identical assets or liabilities;

Level 2 – Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly. Examples of Level 2 valuations include quoted prices for similar securities, quoted prices on inactive markets and from recognized investment dealers, and the application of factors derived from observable data to non-North American quoted prices in order to estimate the impact of differences in market closing times.

Financial instruments classified as Level 2 investments are valued based on the prices provided by an independent reputable pricing services company who prices the securities based on recent transactions and quotes received from market participants and through incorporating observable market data and using standard market convention practices. Short-term investments classified as Level 2 investments are valued based on amortized cost plus accrued interest which closely approximates fair value.

The estimated fair values for these securities may be different from the values that would have been used had a ready market for the investment existed; and

Level 3 – Inputs that are not based on observable market data.

The inputs are considered observable if they are developed using market data, such as publicly available information about actual events or transactions, and that reflect the assumption that market participants would use when pricing the asset or liability.

See Note 11 for the fair value classifications of the ETF.

(c) Income recognition

Interest income for distribution purposes represents the coupon interest received by the ETF which is accounted for on an accrual basis. The ETF does not amortize premiums paid or discounts received on the purchase of fixed income securities except for zero coupon bonds, which are amortized on a straight-line basis. Dividends are accrued as of the ex-dividend date. Unrealized gains or losses on investments, realized gains or losses on the sale of investments, including foreign exchange gains or losses on such investments, are calculated on a weighted average cost basis. Distributions received from an Underlying Fund or ETF are included in Interest income for distribution purposes, Dividends income or Net realized gain (loss), as appropriate, on the ex-dividend or distribution date.

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3. Material Accounting Policies (cont'd)

(d) Commissions and other portfolio transaction costs

Commissions and other portfolio transaction costs are costs incurred to acquire, issue or dispose of financial assets or liabilities. They include fees and commissions paid to agents, exchanges, brokers, dealers and other intermediaries. The total brokerage commissions incurred by the ETF in connection with portfolio transactions for the periods, together with other transaction charges, is disclosed in the *Statements of Comprehensive Income*. Brokerage business is allocated to brokers based on the best net result for the ETF. Subject to this criteria, commissions may be paid to brokerage firms which provide (or pay for) certain services, other than order execution, which may include investment research, analysis and reports, and databases or software in support of these services. Where applicable and ascertainable, the value of these services generated during the periods is disclosed in Note 11. The value of certain proprietary services provided by brokers cannot be reasonably estimated.

Mackenzie may reimburse the ETF for certain commissions and other portfolio transaction costs. Mackenzie may make these reimbursements at its discretion and stop these reimbursements at any time without notice. Any such reimbursements are included in the *Statement of Comprehensive Income – Expenses absorbed by Manager*.

(e) Securities lending, repurchase and reverse repurchase transactions

The ETF is permitted to enter into securities lending, repurchase and reverse repurchase transactions as set out in the ETF's Prospectus. These transactions involve the temporary exchange of securities for collateral with a commitment to redeliver the same securities on a future date. Income is earned from these transactions in the form of fees paid by the counterparty and, in certain circumstances, interest paid on cash or securities held as collateral. Income earned from these transactions is included in the *Statement of Comprehensive Income* and recognized when earned. Securities lending transactions are administered by The Bank of New York Mellon (the "Securities Lending Agent"). The value of cash or securities held as collateral must be at least 102% of the fair value of the securities loaned, sold or purchased.

Note 11 summarizes the details of securities loaned and collateral received as at the end of period, as well as a reconciliation of securities lending income during the period, if applicable. Collateral received is comprised of debt obligations of the Government of Canada and other countries, Canadian provincial and municipal governments, and financial institutions.

(f) Offsetting

Financial assets and liabilities are offset and the net amount reported in the *Statement of Financial Position* only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. In the normal course of business, the ETF enters into various master netting agreements or similar agreements that do not meet the criteria for offsetting in the *Statement of Financial Position* but still allow for the related amounts to be set off in certain circumstances, such as default, bankruptcy, or termination of the contracts. Note 11 summarizes the details of such offsetting, if applicable, including gross recognized financial assets and financial liabilities, amounts offset in the *Statement of Financial Position* and the net impact to the *Statements of Financial Position* if all set-off rights were exercised as part of future events.

Income and expenses are not offset in the *Statement of Comprehensive Income* unless required or permitted to by an accounting standard, as specifically disclosed in the IFRS policies of the ETF.

(g) Currency

The functional and presentation currency of the ETF is Canadian dollars. Foreign currency purchases and sales of investments and foreign currency dividend and interest income and expenses are translated to Canadian dollars at the rate of exchange prevailing at the time of the transactions.

Foreign exchange gains (losses) on purchases and sales of foreign currencies are included in the *Statement of Comprehensive Income – Other changes in fair value of investments and other net assets – Net realized gain (loss)*.

The fair value of investments and other assets and liabilities, denominated in foreign currencies, are translated to Canadian dollars at the rate of exchange prevailing on each business day.

(h) Net assets attributable to unitholders per unit

Net assets attributable to unitholders per unit is computed by dividing the net assets attributable to unitholders on a business day by the total number of units outstanding on that day.

(i) Net asset value per unit

The daily Net Asset Value ("NAV") of an investment fund may be calculated without reference to IFRS as per the Canadian Securities Administrators' ("CSA") regulations. The difference between NAV and Net assets attributable to unitholders (as reported in the financial statements), if any, is mainly due to differences in fair value of investments and other financial assets and liabilities and is disclosed in Note 11, if applicable.

(j) Future accounting changes

i) Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)

In May 2024, the International Accounting Standards Board ("IASB") issued amendments to IFRS 9 and IFRS 7, *Financial Instruments: Disclosures* ("IFRS 7"). These amendments relate to classification of financial assets and accounting for settlement by electronic payments in the context of the classification and measurement requirements of IFRS 9. The potential impact may include, but is not limited to, a change in timing of recognition and derecognition of financial instruments in certain situations in which settlement takes more than a day. These amendments also introduced an accounting policy choice to derecognize financial liabilities settled using an electronic payment system before the settlement date. These amendments are effective for annual periods beginning on or after January 1, 2026, with early adoption permitted.

ii) IFRS 18, *Presentation and Disclosure in Financial Statements* ("IFRS 18")

In April 2024, the IASB issued IFRS 18. IFRS 18, which replaces IAS 1, *Presentation of financial statements*, introduces new requirements to present specified categories and defined subtotals in the *Statement of Comprehensive Income*, new disclosure for management-defined performance measures, and additional requirements for aggregation and disaggregation of information. The standard is effective for annual periods beginning on or after January 1, 2027, with early adoption permitted.

Mackenzie is currently assessing the impact of the adoption of the above standards. No other new standards, amendments and interpretations are expected to have a material effect on the financial statements of the ETF.

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4. Critical Accounting Estimates and Judgments

The preparation of these financial statements requires management to make estimates and assumptions that primarily affect the valuation of investments. Estimates and assumptions are reviewed on an ongoing basis. Actual results may differ from these estimates.

The following discusses the most significant accounting judgments and estimates made in preparing the financial statements:

Use of Estimates

Fair value of securities not quoted in an active market

The ETF may hold financial instruments that are not quoted in active markets and are valued using valuation techniques that make use of observable data, to the extent practicable. Various valuation techniques are utilized, depending on a number of factors, including comparison with similar instruments for which observable market prices exist and recent arm's length market transactions. Key inputs and assumptions used are company specific and may include estimated discount rates and expected price volatilities. Changes in key inputs, could affect the reported fair value of these financial instruments held by the ETF.

Use of Judgments

Classification and measurement of investments

In classifying and measuring financial instruments held by the ETF, Mackenzie is required to make significant judgments in order to determine the most appropriate classification in accordance with IFRS 9. Mackenzie has assessed the ETF's business model, the manner in which all financial instruments are managed and performance evaluated as a group on a fair value basis, and concluded that FVTPL in accordance with IFRS 9 provides the most appropriate measurement and presentation of the ETF's financial instruments.

Functional currency

The ETF's functional and presentation currency is the Canadian dollar, which is the currency considered to best represent the economic effects of the ETF's underlying transactions, events and conditions taking into consideration the manner in which units are issued and redeemed and how returns and performance by the ETF are measured.

Interest in unconsolidated structured entities

In determining whether an Underlying Fund or an ETF in which the ETF invests, but that it does not consolidate, meets the definition of a structured entity, Mackenzie is required to make significant judgments about whether these Underlying Funds have the typical characteristics of a structured entity. These Underlying Funds do meet the definition of a structured entity because:

- I. The voting rights in the Underlying Funds are not dominant factors in deciding who controls them;
- II. the activities of the Underlying Funds are restricted by their offering documents; and
- III. the Underlying Funds have narrow and well-defined investment objectives to provide investment opportunities for investors while passing on the associated risks and rewards.

As a result, such investments are accounted for at FVTPL. Note 11 summarizes the details of the ETF's interest in these Underlying Funds, if applicable.

5. Income Taxes

The ETF qualifies as a mutual fund trust under the provisions of the Income Tax Act (Canada) and, accordingly, is subject to tax on its income including net realized capital gains in the taxation year, which is not paid or payable to its unitholders as at the end of the taxation year. The ETF maintains a December year-end for tax purposes. The ETF may be subject to withholding taxes on foreign income. In general, the ETF treats withholding tax as a charge against income for tax purposes. The ETF will distribute sufficient amounts from net income for tax purposes, as required, so that the ETF will not pay income taxes other than refundable tax on capital gains, if applicable.

Losses of the ETF cannot be allocated to investors and are retained in the ETF for use in future years. Non-capital losses may be carried forward up to 20 years to reduce taxable income and realized capital gains of future years. Capital losses may be carried forward indefinitely to reduce future realized capital gains. Refer to Note 11 for the ETF's loss carryforwards.

6. Management Fees and Operating Expenses

Mackenzie is paid a management fee for managing the investment portfolio, providing investment analysis and recommendations, making investment decisions and making brokerage arrangements relating to the purchase and sale of the investment portfolio. The management fee is calculated as a fixed annual percentage of the daily net asset value of the units of the ETF.

In addition to the applicable management fee, the operating expenses payable by the ETF include interest and borrowing costs, brokerage expenses and related transaction fees, fees and expenses relating to the operation of the Mackenzie ETFs' Independent Review Committee ("IRC"), fees under any derivative instrument used by the ETF, cost of complying with the regulatory requirement to produce summary documents, ETF facts or other similar disclosure documents, the costs of complying with governmental or regulatory requirements introduced after the date of the most recently filed prospectus, including, without limitation, any new fees or increases in fees, the fees related to external services that are not commonly charged in the Canadian exchange-traded fund industry after the date of the most recently filed prospectus, fees paid to external service providers associated with tax reclaims, refunds or the preparation of foreign tax reports on behalf of the ETFs, fees paid to external legal counsel and/or others in connection with corporate or other actions affecting the portfolio holdings of the ETF, and any applicable taxes, including income, withholding or other taxes and also including G.S.T. or H.S.T. on expenses.

Mackenzie may waive or absorb management fees and operating expenses at its discretion and stop waiving or absorbing such fees at any time without notice.

Mackenzie may charge a reduced management fee rate with respect to investments in the ETF by large investors, including other funds managed by Mackenzie or affiliates of Mackenzie. An amount equal to the difference between the fee otherwise chargeable and the reduced fee will be distributed in cash to those unitholders by the ETF as a management fee distribution. Refer to Note 11 for the management fee rates charged to units of the ETF.

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7. Units and Unit Transactions

Mackenzie, on behalf of the ETF, has entered into a designated broker agreement with one or more designated brokers pursuant to which the designated broker has agreed to perform certain duties relating to the ETF including, without limitation: (i) to subscribe for a sufficient number of units to satisfy the Exchange's original listing requirements; (ii) to subscribe for units on an ongoing basis in connection with any rebalancing event, as applicable, and when cash redemptions of units occur; and (iii) to post a liquid two-way market for the trading of units on the Exchange. In accordance with the designated broker agreement, Mackenzie may from time to time require the designated broker to subscribe for units of the ETF for cash.

The number of units issued/redeemed for subscription/redemption orders (the "Prescribed Number of Units") is determined by Mackenzie. On any trading day, a designated broker may place a subscription or redemption order for any multiple of the Prescribed Number of Units of the ETF based on the NAV per unit determined on the applicable trading day. A trading day is each day on which the Exchange is opened for business.

Generally, all orders to purchase units directly from an ETF must be placed by a designated broker or a dealer. The ETF reserves the absolute right to reject any subscription order placed by a designated broker or a dealer. No fees will be payable by the ETF to a designated broker or a dealer in connection with the issuance of units. On the issuance of units, an amount may be charged to a designated broker or a dealer to offset the expenses incurred in issuing the units.

For each Prescribed Number of Units issued, a dealer must deliver payment consisting of: (i) a basket of securities and cash equal to the aggregate NAV per unit of the Prescribed Number of Units next determined following the receipt of the subscription order; (ii) cash in an amount equal to the aggregate NAV per unit of the Prescribed Number of Units next determined following the receipt of the subscription order; or (iii) a combination of securities and cash, as determined by Mackenzie, in an amount sufficient so that the value of the securities and cash received is equal to the aggregate NAV per unit of the Prescribed Number of Units next determined following the receipt of the subscription order.

8. ETF's Capital

The capital of the ETF, which is comprised of the net assets attributable to unitholders, is divided into different series with each series having an unlimited number of units. The units outstanding for the ETF as at March 31, 2026, and 2025, and units issued, reinvested and redeemed for the periods are disclosed in Note 11. Mackenzie manages the capital of the ETF in accordance with its investment objectives as disclosed in Note 11.

9. Financial Instruments Risk

(a) Risk exposure and management

The ETF's investment activities expose it to a variety of financial risks, as defined in IFRS 7. The ETF's exposure to financial risks is concentrated in its investments, which are presented in the Schedule of Investments, as at March 31, 2026, grouped by asset type, with geographic and sector information.

Mackenzie seeks to minimize potential adverse effects of financial risks on the ETF's performance by employing professional, experienced portfolio advisors, by monitoring the ETF's positions and market events daily, by diversifying the investment portfolio within the constraints of the ETF's investment objectives, and where applicable, by using derivatives to hedge certain risk exposures. To assist in managing risks, Mackenzie also maintains a governance structure that oversees the ETF's investment activities and monitors compliance with the ETF's stated investment strategy, internal guidelines, and securities regulations.

(b) Liquidity risk

Liquidity risk arises when the ETF encounters difficulty in meeting its financial obligations as they become due. The ETF is exposed to liquidity risk due to potential daily cash redemptions of redeemable units. In accordance with securities regulations, the ETF must maintain at least 85% of its assets in liquid investments (i.e., investments that can be readily sold). The ETF also has the ability to borrow up to 5% of its net assets for the purposes of funding redemptions and an additional 5% of its net assets for the purpose of funding distributions paid to its investors.

(c) Currency risk

Currency risk is the risk that financial instruments which are denominated or exchanged in a currency other than the Canadian dollar, which is the ETF's functional currency, will fluctuate due to changes in exchange rates. Generally, foreign denominated investments increase in value when the value of the Canadian dollar (relative to foreign currencies) falls. Conversely, when the value of the Canadian dollar rises relative to foreign currencies, the values of foreign denominated investments fall.

Note 11 indicates the foreign currencies, if applicable, to which the ETF had significant exposure, including both monetary and non-monetary financial instruments, and illustrates the potential impact, in Canadian dollar terms, to the ETF's net assets had the Canadian dollar strengthened or weakened by 5% relative to all foreign currencies, all other variables held constant. In practice, the actual trading results may differ and the difference could be material.

The ETF's sensitivity to currency risk illustrated in Note 11 includes potential indirect impacts from underlying ETFs in which the ETF invests, and/or derivative contracts including forward currency contracts. Other financial assets and liabilities (including dividends and interest receivable, and receivables/payables for investments sold/purchased) that are denominated in foreign currencies do not expose the ETF to significant currency risk.

(d) Interest rate risk

Interest rate risk arises on interest-bearing financial instruments. The ETF is exposed to the risk that the value of interest-bearing financial instruments will fluctuate due to changes in the prevailing levels of market interest rates. Generally, these securities increase in value when interest rates fall and decrease in value when interest rates rise.

If significant, Note 11 summarizes the ETF's interest-bearing financial instruments by remaining term to maturity and illustrates the potential impact to the ETF's net assets had prevailing interest rates increased or decreased by 1%, assuming a parallel shift in the yield curve, all other variables held constant. The ETF's sensitivity to interest rate changes was estimated using weighted average duration. In practice, the actual trading results may differ and the difference could be material.

The ETF's sensitivity to interest rate risk illustrated in Note 11 includes potential indirect impacts from underlying ETFs in which the ETF invests, and/or derivative contracts. Cash and cash equivalents and other money market instruments are short term in nature and are not generally subject to significant amounts of interest rate risk.

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9. Financial Instruments Risk (cont'd)

(e) Other price risk

Other price risk is the risk that the value of financial instruments will fluctuate as a result of changes in market prices (other than those arising from interest rate risk or currency risk), whether caused by factors specific to an individual investment, its issuer, or all factors affecting all instruments traded in a market or market segment. All investments present a risk of loss of capital. This risk is managed through a careful selection of investments and other financial instruments within the parameters of the investment strategies. Except for certain derivative contracts, the maximum risk resulting from financial instruments is equivalent to their fair value. The maximum risk of loss on certain derivative contracts such as forwards, swaps, and futures contracts is equal to their notional values. In the case of written call (put) options and short futures contracts, the loss to the ETF continues to increase, theoretically without limit, as the fair value of the underlying interest increases (decreases). However, these instruments are generally used within the overall investment management process to manage the risk from the underlying investments and do not typically increase the overall risk of loss to the ETF. This risk is mitigated by ensuring that the ETF holds a combination of the underlying interest, cash cover and/or margin that is equal to or greater than the value of the derivative contract.

Other price risk typically arises from exposure to equity and commodity securities. If significant, Note 11 illustrates the potential increase or decrease in the ETF's net assets, had the prices on the respective exchanges for these securities increased or decreased by 10%, all other variables held constant. In practice, the actual trading results may differ and the difference could be material.

The ETF's sensitivity to other price risk illustrated in Note 11 includes potential indirect impacts from underlying ETFs in which the ETF invests, and/or derivative contracts.

(f) Credit risk

Credit risk is the risk that a counterparty to a financial instrument will fail to discharge an obligation or commitment that it has entered into with the ETF. Note 11 summarizes the ETF's exposure, if applicable and significant, to credit risk.

If presented, credit ratings and rating categories are based on ratings issued by a designated rating organization. Indirect exposure to credit risk may arise from fixed-income securities, such as bonds, held by underlying ETFs, if any. The fair value of debt securities includes consideration of the creditworthiness of the debt issuer.

To minimize the possibility of settlement default, securities are exchanged for payment simultaneously, where market practices permit, through the facilities of a central depository and/or clearing agency where customary.

The carrying amount of investments and other assets represents the maximum credit risk exposure as at the date of the *Statement of Financial Position*. The ETF may enter into securities lending transactions with counterparties and it may also be exposed to credit risk from the counterparties to the derivative instruments it may use. Credit risk associated with these transactions is considered minimal as all counterparties have a rating equivalent to a designated rating organization's credit rating of not less than A-1 (low) on their short-term debt and of A on their long-term debt, as applicable.

(g) Underlying ETFs

The ETF may invest in underlying ETFs and may be indirectly exposed to currency risk, interest rate risk, other price risk and credit risk from fluctuations in the value of financial instruments held by the underlying ETFs. Note 11 summarizes the ETF's exposure, if applicable and significant, to these risks from underlying ETF.

10. Other Information

Abbreviations

Foreign currencies, if any, are presented in these financial statements using the following abbreviated currency codes:

Currency Code	Description	Currency Code	Description	Currency Code	Description
AUD	Australian dollars	HUF	Hungarian forint	PLN	Polish zloty
AED	United Arab Emirates Dirham	IDR	Indonesian rupiah	QAR	Qatar Rial
BRL	Brazilian real	ILS	Israeli shekel	RON	Romanian leu
CAD	Canadian dollars	INR	Indian rupee	RUB	Russian ruble
CHF	Swiss franc	JPY	Japanese yen	SAR	Saudi riyal
CZK	Czech koruna	KOR	South Korean won	SEK	Swedish krona
CLP	Chilean peso	MXN	Mexican peso	SGD	Singapore dollars
CNY	Chinese yuan	MYR	Malaysian ringgit	THB	Thailand baht
COP	Colombian peso	NGN	Nigerian naira	TRL	Turkish lira
DKK	Danish krone	NOK	Norwegian krona	USD	United States dollars
EGP	Egyptian pound	NTD	New Taiwan dollar	VND	Vietnamese dong
EUR	Euro	NZD	New Zealand dollars	ZAR	South African rand
GBP	United Kingdom pounds	PEN	Peruvian nuevo sol	ZMW	Zambian kwacha
GHS	Ghana Cedi	PHP	Philippine peso		
HKD	Hong Kong dollars	PKR	Pakistani rupee		

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NOTES TO FINANCIAL STATEMENTS

11. ETF Specific Information (in '000, except for (a) i.)

(a) i. ETF Formation and Series Information

Date of Formation: June 25, 2019

The ETF may issue an unlimited number of units. The number of issued and outstanding units is disclosed in Note 11 (a) ii.

CAD Units were listed on the TSX under the symbol QEBL on October 24, 2019. The closing market price, or the midpoint of the bid and ask prices in the absence of a closing market price, at March 31, 2026 was \$77.77 (2025 – \$77.89).

The management fee rate for CAD Units is 0.45%.

As at March 31, 2026, the ETF's NAV per unit was \$77.38 (2025 – \$78.13) and its Net Assets per unit calculated in accordance with IFRS was \$77.39 (2025 – \$78.13).

ii. Unit Transactions and Outstanding Units

	March 31, 2026						March 31, 2025					
	Units Outstanding – Beginning of Period	Issued	Issued on Merger	Reinvested Distributions	Redeemed	Units Outstanding – End of Period	Units Outstanding – Beginning of Period	Issued	Issued on Merger	Reinvested Distributions	Redeemed	Units Outstanding – End of Period
CAD Units	450	1,700	–	–	–	2,150	250	200	–	–	–	450

In-Kind Transactions

The portion of proceeds from units issued and payments on redemption of units that are settled with baskets of securities are referred to as in-kind transactions. In accordance with IAS 7, these in-kind transactions are excluded from proceeds from units issued, payments on redemption of units, purchases of investments and proceeds from sale and maturity of investments, within the *Statement of Cash Flows*. The table below presents the amounts of such in-kind transactions during the period.

Unit Transactions	In-Kind Transactions	In \$ 000	
		March 31, 2026	March 31, 2025
Proceeds from units issued	Value of securities received	–	–
Payments on redemption of units	Value of securities delivered	–	–

(b) Tax Loss Carryforwards

Total Capital Loss \$	Total Non-Capital Loss \$	Expiration Date of Non-Capital Losses													
		2032 \$	2033 \$	2034 \$	2035 \$	2036 \$	2037 \$	2038 \$	2039 \$	2040 \$	2041 \$	2042 \$	2043 \$	2044 \$	2045 \$
140,690	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–

(c) Securities Lending

	March 31, 2026		March 31, 2025	
	(\$)	(%)	(\$)	(%)
Value of securities loaned	1,278		–	
Value of collateral received	1,343		–	
	March 31, 2026		March 31, 2025	
	(\$)	(%)	(\$)	(%)
Gross securities lending income	2	100.0	–	–
Tax withheld	–	–	–	–
	2	100.0	–	–
Payments to securities lending agent	–	–	–	–
Securities lending income	2	100.0	–	–

(d) Commissions

For the periods ended March 31, 2026 and 2025, commissions paid by the ETF did not generate any third-party services that were provided or paid for by brokers.

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NOTES TO FINANCIAL STATEMENTS

11. ETF Specific Information (in '000, except for (a) i.) (cont'd)

(e) Risks Associated with Financial Instruments

i. Risk exposure and management

The ETF seeks to replicate, to the extent reasonably possible and before fees and expenses, the performance of the Solactive EM Local Currency Government Bond Select NTR Index, or any successor thereto. It invests primarily in local currency denominated, emerging market government bonds.

ii. Currency risk

The tables below summarize the ETF's exposure to currency risk.

Currency	March 31, 2026				Impact on net assets			
	Investments (\$)	Cash and Short-Term Investments (\$)	Derivative Instruments (\$)	Net Exposure* (\$)	Strengthened by 5%		Weakened by 5%	
					(\$)	(%)	(\$)	(%)
CNY	16,534	2	–	16,536				
KOR	15,870	152	–	16,022				
MXN	15,676	282	–	15,958				
BRL	14,717	170	–	14,887				
INR	14,839	–	–	14,839				
IDR	14,426	175	–	14,601				
THB	13,314	36	–	13,350				
ZAR	10,821	144	–	10,965				
MYR	8,171	37	–	8,208				
CZK	6,969	76	–	7,045				
COP	5,817	18	–	5,835				
PHP	5,478	–	102	5,580				
RON	4,647	–	–	4,647				
PEN	3,044	57	–	3,101				
TRL	2,197	88	813	3,098				
HUF	3,023	–	–	3,023				
CLP	2,988	3	–	2,991				
USD	–	1,541	(915)	626				
Total	158,531	2,781	–	161,312				
% of Net Assets	95.3	1.7	–	97.0				
Total currency rate sensitivity					(8,066)	(4.8)	8,066	4.8

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11. ETF Specific Information (in '000, except for (a) i.) (cont'd)

(e) Risks Associated with Financial Instruments (cont'd)

ii. Currency risk (cont'd)

Currency	March 31, 2025				Impact on net assets			
	Investments (\$)	Cash and Short-Term Investments (\$)	Derivative Instruments (\$)	Net Exposure* (\$)	Strengthened by 5%		Weakened by 5%	
					(\$)	(%)	(\$)	(%)
KOR	3,475	45	—	3,520				
BRL	3,434	—	—	3,434				
INR	3,406	—	—	3,406				
IDR	3,361	—	—	3,361				
CNY	3,464	1	(198)	3,267				
MXN	3,134	26	—	3,160				
THB	3,122	—	—	3,122				
ZAR	2,246	28	—	2,274				
MYR	1,823	76	—	1,899				
PHP	1,448	—	263	1,711				
CZK	1,434	16	—	1,450				
COP	1,048	3	—	1,051				
RON	967	—	—	967				
HUF	644	—	—	644				
PEN	618	18	—	636				
TRL	139	—	363	502				
USD	—	699	(428)	271				
Total	33,763	912	—	34,675				
% of Net Assets	96.0	2.6	—	98.6				
Total currency rate sensitivity					(1,734)	(4.9)	1,734	4.9

* Includes both monetary and non-monetary financial instruments

iii. Interest rate risk

The tables below summarize the ETF's exposure to interest rate risks from its investments in bonds by term to maturity.

March 31, 2026	Bonds (\$)	Derivative Instruments (\$)	Impact on net assets			
			Increase by 1%		Decrease by 1%	
			(\$)	(%)	(\$)	(%)
Less than 1 year	4,119	—				
1-5 years	52,357	—				
5-10 years	60,451	—				
Greater than 10 years	41,604	—				
Total	158,531	—				
Total sensitivity to interest rate changes			(10,560)	(6.3)	10,560	6.3

MACKENZIE EMERGING MARKETS LOCAL CURRENCY BOND INDEX ETF

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NOTES TO FINANCIAL STATEMENTS

11. ETF Specific Information (in '000, except for (a) i.) (cont'd)

(e) Risks Associated with Financial Instruments (cont'd)

iii. Interest rate risk (cont'd)

	Bonds (\$)	Derivative Instruments (\$)	Impact on net assets			
			Increase by 1%		Decrease by 1%	
March 31, 2025			(\$)	(%)	(\$)	(%)
Less than 1 year	1,739	–				
1-5 years	9,359	–				
5-10 years	12,303	–				
Greater than 10 years	8,808	–				
Total	32,209	–				
Total sensitivity to interest rate changes			(2,022)	(5.8)	2,022	5.8

iv. Other price risk

As at March 31, 2026 and 2025, the ETF did not have a significant exposure to other price risk.

v. Credit risk

The ETF's greatest concentration of credit risk is in debt securities, such as bonds. The fair value of debt securities includes consideration of the creditworthiness of the debt issuer. The maximum exposure to any one debt issuer as at March 31, 2026, was 9.5% (2025 – 9.9%) of the net assets of the ETF.

As at March 31, 2026 and 2025, debt securities by credit rating are as follows:

Bond Rating*	March 31, 2026	March 31, 2025
	% of Net Assets	% of Net Assets
AAA	10.8	14.4
AA	15.3	15.5
A	23.2	20.7
BBB	21.8	22.1
Less than BBB	20.0	11.8
Unrated	4.2	7.1
Total	95.3	91.6

* Credit ratings and rating categories are based on ratings issued by a designated rating organization

(f) Fair Value Classification

The table below summarizes the fair value of the ETF's financial instruments using the fair value hierarchy described in note 3.

	March 31, 2026				March 31, 2025			
	Level 1 (\$)	Level 2 (\$)	Level 3 (\$)	Total (\$)	Level 1 (\$)	Level 2 (\$)	Level 3 (\$)	Total (\$)
Bonds	–	158,531	–	158,531	–	32,209	–	32,209
Derivative assets	–	54	–	54	–	60	–	60
Derivative liabilities	–	(10)	–	(10)	–	(22)	–	(22)
Short-term investments	–	–	–	–	–	1,554	–	1,554
Total	–	158,575	–	158,575	–	33,801	–	33,801

The ETF's policy is to recognize transfers into and transfers out of fair value hierarchy levels as of the date of the event or change in circumstances that caused the transfer.

During the periods, there were no significant transfers between Level 1 and Level 2.

(g) Investments by the Manager and Affiliates

The investments held by the Manager, other funds managed by the Manager, and funds managed by affiliates of the Manager were as follows:

	March 31, 2026	March 31, 2025
	(\$)	(\$)
The Manager	–	–
Other funds managed by the Manager	113,452	2,070
Funds managed by affiliates of the Manager	14,825	10,642

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ANNUAL AUDITED FINANCIAL STATEMENTS | March 31, 2026

NOTES TO FINANCIAL STATEMENTS

11. ETF Specific Information (in '000, except for (a) i.) (cont'd)

(h) Offsetting of Financial Assets and Liabilities

March 31, 2026						
	Gross amount of recognized financial assets/liabilities (\$)	Amounts offset in Statement of Financial Position (\$)	Net amounts presented in the Statement of Financial Position (\$)	Related amounts not offset in net amounts in Statement of Financial Position		
				Financial instruments (\$)	Margin (\$)	Net amount (\$)
Unrealized gains on derivatives	54	–	54	(6)	–	48
Unrealized losses on derivatives	(10)	–	(10)	6	–	(4)
Liability for options written	–	–	–	–	–	–
Total	44	–	44	–	–	44

March 31, 2025				
	Gross amount of assets/liabilities (\$)	Amount available for offset (\$)	Margin (\$)	Net amount (\$)
Unrealized gains on derivative contracts	60	(22)	–	38
Unrealized losses on derivative contracts	(22)	22	–	–
Liability for options written	–	–	–	–
Total	38	–	–	38

(i) Interest in Unconsolidated Structured Entities

As at March 31, 2026 and 2025, the ETF had no investments in Underlying Funds.

(j) Comparative Amounts

In the supplementary disclosures on the *Statement of Cash Flows*, a prior period comparative amount of (\$241) has been reclassified from “Foreign taxes paid (recovered)” to “Interest received net of withholding taxes” to accurately reflect the nature of foreign withholding taxes as a non-cash expense deducted at source, and to align with the current period's presentation.